INTERNATIONALIZATION PROJECT FOR OATLY

STRATEGIC EXPANSION INTO NEW MARKETS



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COMPANY OVERVIEW



- Swedish brand dedicated to the production of drinks based on oats.
- Original oat milk, designed to replace traditional dairy without sacrificing taste or nutrition.
- Target market: Not just the 65% who are lactose-intolerant, but anyone choosing a zero-compromise, planet-friendly lifestyle.

STRATEGIC PRINCIPLES

Sustainability: reducing environmental footprint in farming, production, and supply chain.

Mission to shift consumption from traditional dairy to plant-based alternatives.

Use of bold and unconventional marketing to challenge traditional dairy companies.

MAIN PRODUCTS



REGULAR OAT MILK



BARISTA EDITION



SPREAD



COOKING



YOGURT

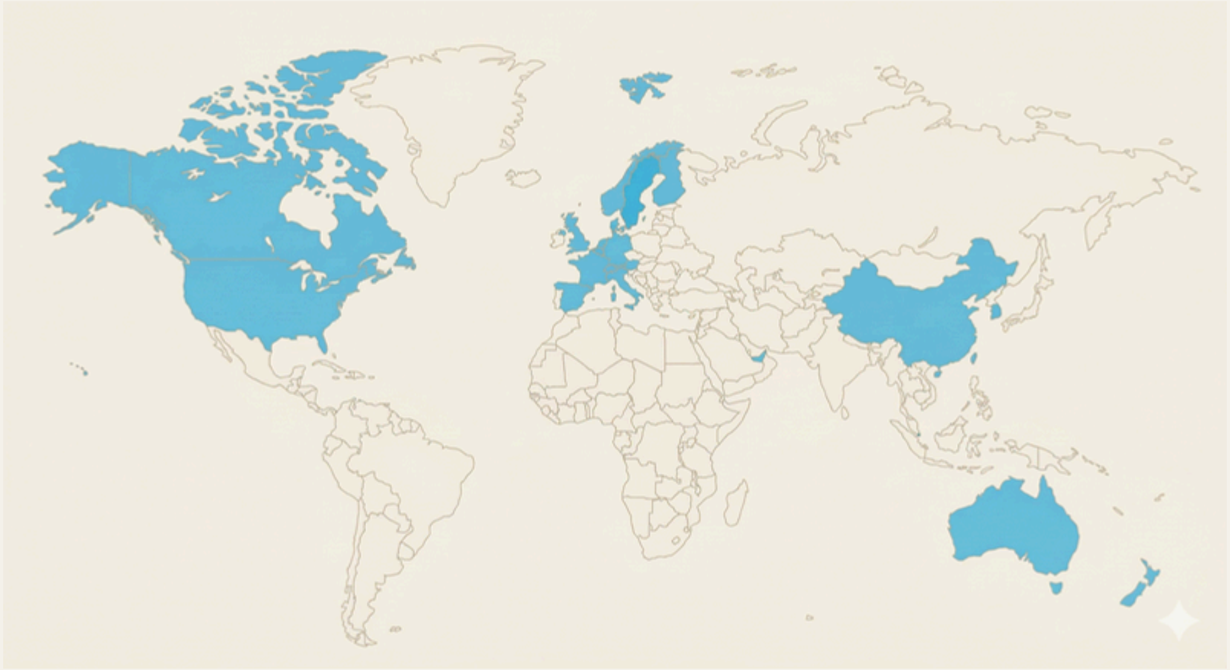


SOFT SERVE/ICE CREAM

RESOURCES AND CAPABILITIES

- Patented enzymatic oat technology
- Disruptive, mission-driven brand identity
- Strategic specialty coffee partnerships
- Agile plant-based product innovation

INTERNATIONAL PRESENCE

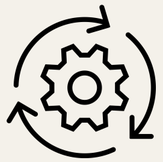




Operating in 20+ markets across three key regions: EMEA, Americas, and Asia.



Omnichannel strategy with presence in 60,000+ retail stores and 75,000+ coffee shops worldwide.



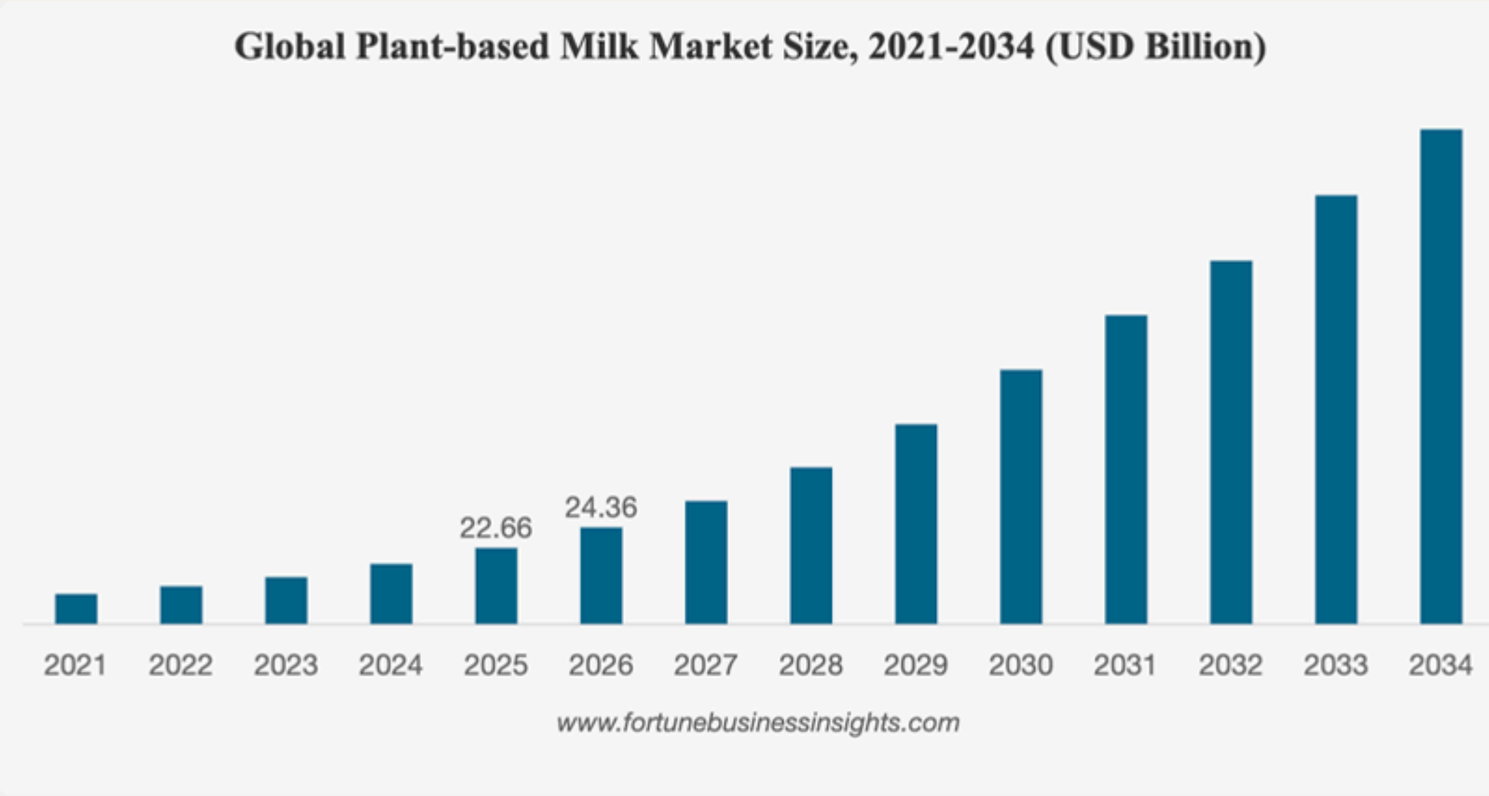
Production localization: aiming for 90% local-to-local production to minimize carbon footprint and optimize logistics.

Revenue breakdown by region

Region	Market share (approx.)	Key growth drivers
EMEA	**~50%**	Established leadership in Sweden, Germany, and UK.
Americas	**~25%**	Massive expansion via Starbucks partnership.
Asia	**~25%**	Rapid growth in China (11,000+ specialty points of sale).

INDUSTRY ANALYSIS: THE PLANT-BASED DAIRY MARKET

Global market size 2025: US$22.66 billion
Global market forecast for 2034: US$43.46 billion
CAGR (2025-2034): 7.5%



Market Share - Regional

North America: 24%

Europe: 22%

Asia-Pacific: 40%

Middle East and Africa: 14%

Last Tendences

- Demand for functional nutrition
- Preference for oat milk
- Sustainability as a driver
- E-commerce market expansion

Challenges

- Price sensitivity
- Taste and texture preferences
- Raw material volatility

SWOT ANALYSIS

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- Patented technology.
- Strong brand equity.
- Strategic barista network.
- Category pioneer.

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- Premium pricing.
- Single-ingredient reliance.
- High operational costs.
- Manufacturing and supply chain bottlenecks.

O

- Expansion into emerging markets (APAC, LATAM, MEA).
- Innovation in functional and blended formulations.
- Growth of digital and modern retail channels.

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- Clean-label challenges.
- Nutritional perception gaps.
- Operational complexity.

Strategic Internationalization Goals

GENERAL GOAL:

- Identify commercial expansion opportunities for Oatly's "Barista Edition" oat milk and its optimal insertion into the Latin American market by the first half of 2027.

SPECIFIC GOALS:

- Determine a target market in Latin America for Oatly's expansion.
- Establish the appropriate market penetration strategy for its commercialization in the previously selected market.

Potential New Markets

- Brazil.
- Argentina.
- Chile.
- Colombia.

WHY LATIN AMERICA? REGIONAL COMPARISON

Region	Primary barrier to entry	The Latin American advantage
Southeast Asia	High dominance of low-cost traditional soy/coconut milks makes premium oat milk a "tough sell."	High milk consumption paired with rising lactose intolerance creates a massive vacuum for premium swaps.
Middle East	Lower consumer urgency regarding the environmental impact of food choices (Oatly's core message).	A massive Gen Z & Millennial population that actively prioritizes brands with a sustainability DNA.
Sub-Saharan Africa	Significant challenges in cold-chain infrastructure and fragmented retail distribution.	Highly urbanized hubs with sophisticated retail and specialty coffee networks ready for scale.
Eastern Europe	High price sensitivity and geopolitical instability impacting premium FMCG sectors.	A booming middle class in Latam is willing to pay a "green premium" for global, aspirational brands.

Multi-Criteria Decision Matrix (MCDA)

Selection Criteria	Weight	Argentina	Brazil	Chile	Colombia
SPECIALITY COFFEE CULTURE	35%	4	4	3	5
COMPETITIVE INTENSITY	30%	5	2	2	3
INSTITUCIONAL DISTANCE	20%	3	4	5	4
PLANT-BASED GROWTH TRENDS	15%	4	5	4	3
FINAL WEIGHTED SCORE	**100%**	**4**	3.55	3.25	3.95

(Scale: 1 = Very Unfavorable, 5 = Highly Favorable)

SPECIALTY COFFEE CULTURE: essential for the B2B entry model, using high-end cafes as primary brand showrooms.

COMPETITIVE INTENSITY: defines the ability to maintain premium margins without entering immediate price wars.

INSTITUTIONAL DISTANCE: measures operational risk. High distance justifies contractual entry modes over FDI.

PLANT-BASED TRENDS: indicates long-term market scalability and consumer readiness for dairy alternatives.

Target Locations & Expansion Goals

Geographic Scope:

Multi-hub approach, focusing on:

- Buenos Aires: neighborhoods of Palermo, Recoleta and Belgrano.
- Córdoba: Nueva Córdoba neighborhood and Zona Norte.

Strategic Objectives:

- Capture a 25% market share of the premium plant-based category within targeted geographic areas in the first 18 months.
- Establish "Barista Edition" as the gold standard by securing presence in the top 100 specialty cafes to validate quality through professional baristas.
- Utilize specialty cafes as "live laboratories" to test consumer response and gather market data with minimal capital investment.
- Leverage existing premium infrastructure to achieve immediate brand visibility and reduce "liability of foreignness" via local partner networks.

Mode of Entry: Indirect Exportation via Strategic Alliance

Local Partner

GESON S.A - Company located in Buenos Aires, leader in the import and distribution of gourmet products, with an established cold-chain distribution network in the HORECA (Hotel/Restaurant/Cafe) channel.

Operational Scale

- Volume: 24 containers (20ft) per year (around 240,000 liters).
- Frequency: Bi-monthly shipments of 2 containers to maintain a lean supply chain.

Financial Framework

The payment term will be an open account with export credit insurance.

- Mechanism: payment is settled post-nationalization, with the partner managing the local Central Bank (BCRA) payment schedule.

WHY INDIRECT EXPORTATION?

- Oatly’s global model prioritizes low capital commitment to maintain agility and avoid sunk costs in volatile markets.
- The local partner assumes the financial burden of post-nationalization payments and manages complex BCRA (Central Bank) schedules, protecting Oatly’s cash flow from currency fluctuations.
- Enables a low-cost market test with the strategic flexibility to expand or exit based on real-time performance.
- Immediate access to the "Specialty Coffee" niche through an established distribution network.
- Guarantees the european gold standard by avoiding the technical risks of local third-party manufacturing.

The B2B Entry Strategy & Market Testing

- Launching exclusively with the "Barista Edition" to target a specific, high-intent audience before a mass-market rollout.
- Utilizing the "Halo Effect" where being served in top-tier cafes acts as a premium endorsement, positioning Oatly as the gold standard for plant-based milk.
- Leverages coffee experts to educate consumers on flavor profile and performance, ensuring the first product experience is professionally curated.
- B2B serves as a low-risk laboratory to validate price sensitivity and consumer acceptance in a premium environment before committing to high-volume retail.
- Allows the supply chain to stabilize and the partner to optimize the cold-chain logistics before scaling to complex B2C supermarket shelves.

Building Awareness & the B2C Roadmap

- Implementing "Powered by Oatly" co-branding in partner cafes to build visual recognition and brand recall.
- Direct product trials at strategic urban hubs (food festivals, sports events) to reduce the "trial barrier" for the Argentinian consumer.
- Once a "pull demand" is established in the B2B channel, the strategy shifts to B2C, introducing the full product line (Original, Chocolate) into premium retail.
- Consumer insights gathered from the B2B phase will inform the pricing and promotional strategy for the eventual nationwide supermarket launch.



MARKET DIVERSIFICATION IDEA

OATLY X BAILEY'S: PRODUCT DIVERSIFICATION PARTNERSHIP



Selected country: ITALY

- Moves the brand into the after-dinner and social drinking market, reaching customers in a new environment.
- This is presented as a "Premium Edition" for specific social rituals, ensuring it doesn't conflict with the brand’s nutritional identity.
- Focuses on people looking for a high-quality dairy-free option for cocktails and desserts, and also people with some type of lactose intolerance.
- By positioning this as a specific collaboration, Oatly’s daily "healthy and sustainable" image remains tied to its core milk products.
- Uses Baileys’ existing network to place the Oatly brand in bars, hotels, and restaurants where it wasn't present before.



WHY ITALY?



Over 50% of the population has some type of lactose intolerance.



The aperitivo and coffee culture are vital; Oatly x Baileys allows people with dietary restrictions to fully participate in these social rituals.



By entering the spirits category, Oatly increases its market share.



Partnering with Baileys reinforces Oatly's prestige and justifies its premium price positioning.

THANK YOU!

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